

AlgoAlpha Trend Targets

Editor's Verification Note

Claims presented alongside sources for independent verification.
Documented fact, contested interpretation and speculation are marked separately.

✓ documented ✗ not supported ? interpretation

AlgoAlpha "Trend Targets" — Editor's Verification Note

Filed 13 August 2026 alongside AlgoAlpha_Trend_Targets_Research_Report.pdf, which is kept as supplied. This note records what the report's numbers can and cannot support.

The optimization table is in-sample, and that is fatal to it as evidence

The stated method: a grid of **Supertrend Factor [8, 10, 12, 14] x ATR Period [60, 90, 120] x WMA Length [20, 40, 60] — 36 combinations** — searched per asset per timeframe to **maximise the Sharpe Ratio**. Eight assets, three timeframes, 24 cells.

Every number in that table is the best of 36 tries, with no out-of-sample test, no walk-forward, and no null. That is not a performance estimate; it is the maximum of 36 draws. With 36 attempts, the best cell looks impressive even when the true edge is zero. This repository's standing bar for a search of size K is $t \geq \sqrt{2 \ln K}$; for $K=36$ that is **2.68**, and nothing here is reported in units that can be compared against it.

Parameter instability is presented as a feature; it is the warning sign

The report observes that optimal Factor ranges 8-14 "with no single value dominating", ATR Period 60-120, and WMA 20-60 — and concludes this "underscores the necessity of tailored optimization for each trading instrument."

That reads the evidence backwards. **Scattered optima across assets are the classic signature of curve-fitting.** A real effect produces a plateau — nearby parameter values perform similarly, and the same neighbourhood works across related instruments. A spike that lands somewhere different for every asset is what noise looks like when you optimise on it. The report's own strongest observation is its strongest argument against itself.

What is missing entirely

- **No date range.** "Historical data" is the only description of the window.
- **No trade count** in any cell.
- **No transaction costs.** No spread, commission or slippage anywhere in the methodology. On this desk, a 2-point cost assumption was the single factor that killed a 350-cell intraday search on 2026-08-13.
- **No equity curve, drawdown, or win rate.**

A note on the Sharpe figures themselves

The stated calculation is "annualized returns and standard deviation of **daily** returns" — an inconsistent pairing when the tested timeframes are 1h and 4h. The reported values scale strongly with timeframe (1h: 0.02-0.09; 4h: 0.09-0.37; 1d: 0.61-1.17), which is what you would expect from an annualisation convention applied inconsistently across bar sizes rather than from a genuine timeframe effect. **The cross-timeframe comparison — the report's headline conclusion — is not safe on these numbers.**

What survives, and is worth keeping

The direction of the conclusion is corroborated elsewhere, independently.

"Longer timeframes work, short ones do not" is arrived at by three separate routes now:

- This report: daily Sharpe an order of magnitude above hourly.
- **MSPV2** (documents/mspv2_dialectic_engine_report.md): 22-30% win rates on 1m Gold regardless of indicator combination — "not an indicator problem, a timeframe problem."

- **This repository's own results:** the only system that has survived every control is a **daily** z-reversion engine; the 350-cell intraday search on AU200 returned 7 of 350 cells above PF 1.0 against ~175 expected by chance. Three different instruments, three different methods, same conclusion. That is real corroboration — unlike the confluence tables elsewhere in documents/, which count correlated sources.

The mechanical description (sections 2-3) is sound: double-smoothed Supertrend (WMA then EMA), consolidation-based rejection logic, ATR-scaled SL with TP levels as multiples of stop distance. That is a clear, implementable specification and the most useful part of the document.

Applicability here

Tested on BTC, ETH, SOL, NVDA, TSLA, AAPL, SPY, QQQ. **No overlap** with AU200, Gold or US30. Nothing in the table transfers; the mechanism might.

If this is to be tested properly

1. Fix one parameter set from the middle of the plateau, not the optimum.
2. Split the window: fit on the first 60%, report only the last 40%.
3. Include a measured spread.
4. Report trade count and date range with every figure.
5. Run the same grid on shuffled returns; the real result must beat the shuffled maximum, not the shuffled mean.